

Committee: General Assembly 2

Topic: Economic Inclusion and Financial Access for Mass Displaced Populations

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Introduction

Forced displacement is one of the most pressing problems in the world today. As of the end of 2025, 117.8 million people have been forcibly displaced from their place of residence due to persecution, violence, conflicts, restrictions on rights, or events that have occurred or may occur and negatively affect or threaten social stability. These are refugees, asylum seekers, internally displaced persons, and other groups of displaced people. Despite the fact that this number is almost 10 million lower than the peak recorded at the end of 2024, it is twice as high as 10 years ago. Displacement is usually associated with several factors at once and leads to a reduction in the working-age population since people who have fled from their place of residence are often unable to find a job in the countries where they have arrived. The resulting loss of part of the working-age population is a factor in reducing the total GDP of the state. Forced displacement of workers from one territory to another, where they cannot control their work and earnings, is an unorganized structure that suppresses the economy and does not take into account state regulation and financial security. At the same time, this type of migration creates conditions for money laundering for the state and threatens the safety of the population. The priority issue in this context is the economic and financial integration of displaced persons through the expansion of employment opportunities with state regulation, financial security, and insurance against the threat of money laundering.

Key Words

Forced Displacement – The forced movement of people from their homes due to persecution, conflict, violence, human rights violations or events seriously disturbing public order.

Forcibly Displaced Person (FDP) – A broad term referring to people who have been forced to flee their homes. Can include refugees, asylum-seekers, internally displaced persons and other people requiring international protection.

Refugee – A person who has crossed an international border due to a well-founded fear of persecution or due to circumstances covered by applicable international refugee law.

Asylum-Seeker – A person who has sought international protection and whose claim to refugee status has not yet been determined.

Internally Displaced Person (IDP) – A person who has been forced to leave their home but has not crossed an internationally recognized border.

Economic Inclusion – The process of enabling individuals and communities to participate meaningfully in economic life through employment, entrepreneurship, markets, financial services, education, skills and other opportunities.

Financial Inclusion – Ensuring that individuals can access and use appropriate, affordable and responsible financial services, including payments, savings, credit, insurance and money transfers.

Financial Access – The ability of an individual or household to obtain and use financial products and services.

Formal Financial System – Regulated institutions and mechanisms such as banks, licensed payment providers, insurance companies, credit institutions and regulated mobile-money services.

General Overview

Forced dislocation has become one of the most influential phenomena of the twenty-first century. At the end of 2025, there were 117.8 million people around the world who were arbitrarily displaced from their places of residence. This is a serious challenge to international relations and public life. Although this figure is slightly lower than the peak of 123.2 million in 2024, it is almost twice that of a decade ago. Moreover, it should be borne in mind that about 87% of all persons subject to displacement live in developing countries. The absorbing capacity of these countries is often limited by the lack of financial and social resources, and the international community faces the challenge of ensuring the well-being of displaced persons as well as social and economic stability in the recipient countries.

Displacement creates enormous challenges for the fundamental economic capabilities of the individuals and households displaced. Often families and individuals are forced to flee, losing vital documentation and sometimes even possessions. Not only this but the banking history of individuals is also lost, and upon accessing a new country, most individuals and families, regardless of their profession or skill set, face extraordinary barriers to accessing financial services. The main issue is the lack of identity proofing upon arrival as financial institutions and

money service businesses, under AML/CTF requirements, ask for formal identification documents that the displaced persons do not possess. While the recommendations by FATF emphasize on a risk-based approach and offer the possibility of simplified customer due diligence and alternative customer identification, policies across nations differ. Additionally, while the literature shows that there is an increase in recognition of the challenges that refugees face in terms of identity, there is often a disconnect between laws and the actual application. The UNHCR data, as cited in the report shows that while approximately 65% of refugees are legally allowed to work, there is a large disconnect between this number and the actual accessibility to formal employment as fewer than 50% have access to formal jobs without restrictions.

The main challenge facing states in relation to displaced people is ensuring that they have access to a regulated bank account or electronic wallet. Without it, a person cannot hold savings securely, be paid, make purchases, or draw up financial statements for many years. Second, humanitarian aid organizations are capitalizing on the opportunity to make cashless transfers of assistance to beneficiaries through formal financial systems, reducing administrative costs and the need for queues at distribution points, as well as ensuring the privacy and convenience of the oppressed people. Nevertheless, the shift to digital has created new barriers for the displaced in gaining access to financial assets, including smartphones, unstable internet connections, and inadequate digital literacy, as well as potential privacy and security risks in relation to personal data.

Besides the basic aspects of financial inclusion, such as establishing bank accounts, people also require credit, savings, insurance, and access to cross-border payment systems. Displaced entrepreneurs often have ideas for businesses but may not have collateral, job opportunities, or a decent credit history to get a loan from banks. The last resort to solve this problem is needed by innovating microfinance instruments, group lending, credit guarantees, and alternative methods of assessing creditworthiness. At the same time, it is essential to ensure the population with access to remittance channels. It is a vital point for displaced people to send money to their relatives who reside in their home country, but the fees for such services are usually enormous, and many turn to unofficial lenders. The connection between employment and credit, on the one hand, and access to authorized and affordable remittance channels, on the other hand, may allow a virtuous cycle to be established. In other words, obtaining a job, and consequently wages, will enable people to make deposits in banks and take loans.

Finally, strategies to promote sustainable financial inclusion need to take into account the situation of both host communities and digital infrastructures. The use of digital financial services, including mobile money, can be a good solution for promoting financial inclusion in vulnerable and isolated populations, such as in displacement settings. However, technology alone cannot overcome structural barriers, such as prohibitions on SIM card registration or account opening by non-nationals. At the same time, it is essential to note that policies that seek to promote self-reliance among refugees need to be carefully designed so that they do not undermine the financial inclusion of the host community. Indeed, when financial access programs are targeting only one category of previously excluded populations, there is a risk that other groups will be further marginalized. The example of the multi-donor PROSPECTS Partnership illustrates that it can be useful to focus on building sustainable broader local

financial systems, rather than creating separate systems for the specific needs of one group. In order to build trust among both refugees and host communities and enable durable solutions, it is necessary to adopt an approach that explicitly targets the financial inclusion of displaced populations while also promoting access to finance, credit, and digital infrastructure for local populations.

Major Parties Involved

UNHCR (UN Refugee Agency) – Lead agency for refugee protection, registration, cash assistance, and promoting economic inclusion policies.

International Labour Organization (ILO) – Sets labor standards, advocates for work rights, and promotes decent employment and skills recognition.

World Bank Group & IFC – Provides development financing, collects global financial access data (Global Findex), and supports private-sector investment in host regions.

Financial Action Task Force (FATF) – Sets global anti-money laundering standards and guidelines for simplified Customer Due Diligence (CDD) and alternative IDs.

National Governments & Central Banks – Establish legal rights to work, regulate bank KYC requirements, issue official documentation, and set national financial policies.

Commercial Banks & Fintech Companies – Deliver direct financial products, including bank accounts, mobile money, digital wallets, and remittance services.

Humanitarian NGOs & Refugee-Led Organizations – Provide financial literacy, deliver cash assistance, build community trust, and design local grassroots solutions.

Timeline of Relevant Events

Year	Event
1951	UN Refugee Convention established foundational legal rights and protections for displaced people.
2009	FATF permitted simplified identity checks to help financially excluded populations access bank accounts.

2015	UN SDGs adopted, targeting decent work (SDG 8) and reduced inequalities (SDG 10).
2016	ILO Guiding Principles released to support displaced persons' access to formal labor markets.
2018	UN General Assembly affirmed the Global Compact on Refugees to improve host community support.
2019	PROSPECTS Partnership launched to shift displacement responses from short-term aid to economic inclusion.
2022	Global forcibly displaced population surpassed 100 million for the first time.
2024–2025	Forced displacement peaked at 123.2 million before settling at 117.8 million by the end of 2025.

Relevant Documents

[Convention Relating to the Status of Refugees \(1951\) and 1967 Protocol](#)

Establishes the core legal definition of a refugee and their basic rights in host countries, including the right to work and hold property.

[UN Sustainable Development Goals \(2015\)](#)

Outlines global commitments to eliminate poverty, ensure decent work (SDG 8), and reduce economic inequality (SDG 10).

[New York Declaration for Refugees and Migrants \(2016\)](#)

Contains global commitments to better protect refugees, support host communities, and expand access to jobs and education.

[*Global Compact on Refugees \(2018\)*](#)

Provides a framework to lighten the burden on host nations and help displaced people build self-reliance and economic independence.

[*ILO Guiding Principles on Access to the Labour Market \(2016\)*](#)

Offers practical steps for host governments to integrate refugees into local labor markets and provide proper working conditions.

[*FATF Guidance on AML/CFT and Financial Inclusion \(2017\)*](#)

Shows how regulators can simplify identity checks for basic bank accounts while still preventing money laundering and financial crime.

[*UNHCR Global Survey on Livelihoods and Economic Inclusion \(2023\)*](#)

Tracks real-world progress on refugee access to bank accounts, government recognition of refugee IDs, and actual employment rates.

[*World Bank Global Findex Database \(2025\)*](#)

Measures access to and use of formal and informal financial services, including saving, borrowing, payments, and financial risk management, across 141 economies.

[*ILO PROSPECTS Partnership Framework*](#)

Outlines a joint initiative between the UN and World Bank to transition humanitarian aid into long-term market access for host communities and refugees.

[*UNHCR Policy on Cash-Based Interventions*](#)

Guides the transition from giving physical handouts to transferring funds directly into beneficiary-owned bank accounts or digital wallets.

Possible Solutions

1. Implement Tiered Banking and Flexible ID Rules

Governments and central banks should allow alternative forms of identification, such as UNHCR-issued IDs or digital temporary permits, to open bank accounts. To reduce the risk of financial crime, regulators can introduce tiered accounts in which basic accounts with lower transaction limits require lighter forms of identification, allowing newly displaced people to hold money safely from the get-go, and higher-tiers with credit access can be unlocked as customers provide more formal documents.

2. Expand Mobile Money and Digital Financial Infrastructure

In areas where there are no banks, the government should collaborate with telecom companies and fin-tech to facilitate the digital wallets. Virtual financial service platforms can ease the flow of money from the worker to their families and friends. The programs should be complemented with community digital literacy and biometric information protection policies.

3. Support Joint Enterprise and Community-Inclusive Credit

To make financial access sustainable and a pathway to self-sufficiency, international development banks and host governments should create micro-grant and credit guarantee programs. Rather than helping individuals in need, which has the potential to alienate local populations, these financial programs should fund small businesses and job training initiatives that would benefit both the refugee community and vulnerable members of the host community.

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